for which funds will be released by the National Rural Livelihood Mission and National Urban Livelihood Mission.

Taxes

The Budget reiterates that clarity in tax laws, a stable tax regime, a nonadversarial tax administration, a fair mechanism for dispute resolution and independent judiciary for greater assurance is **underlying theme** of tax proposals. It is proposed to set up the **TARC** (Tax Administration Reforms Commission).

As regards ***Direct Taxes***, a relief of Rs. 2000 for the Tax Payers in the first bracket of Rs. 2 lakhs to Rs. 5 lakhs have been proposed. A surcharge of 10 percent on persons (other than companies) whose taxable income exceeds Rs.1 crore have been levied. Surcharge has been increased from 5 to 10 percent on domestic companies whose taxable income exceed Rs. 10 crore. In case of foreign companies, surcharge will increase from 2 to 5 percent, if the taxable income exceeds Rs. 10 crore. Additional surcharges to be in force for only one year. Mr. Chidambaram said, education cess to continue at 3 percent.

The Budget has announced the grant of **investment allowance** at the rate of 15 percent to manufacturing companies that invest more than Rs. 100 crore in plant and machinery during the period 01.04.2013 to 31.03.2015. Concessional rate of tax of 15 per cent on dividend received by the Indian companies from its foreign subsidiary proposed to continue for one more year. It is proposed that TDS at the rate of one percent on the value of the transfer of immovable property where the consideration exceeds Rs. 50 lakhs to be levied. Agricultural land to be exempted from TDS.

Modified provisions of **GAAR** will come into effect from 1st April, 2016. It is also proposed to increase the rate of tax on payments by way of royalty and fees for technical services to non-residents from 10 percent to 25 percent.

The Budget proposes to introduce **CTT** (Commodities Transaction Tax) in a limited way. However, agricultural commodities will be exempted. A number of administrative measures such as extension of refund banker system to refund more than Rs. 50,000, technology based processing,